

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-16

SAMSUNG ELECTRONICS AMERICA, INC.,

COMPLAINANT,

v.

COSCO SHIPPING LINES CO., LTD.,

RESPONDENT.

COMPLAINANT SAMSUNG ELECTRONICS AMERICA,
INC.'S MOTION TO DISMISS RESPONDENT'S
COUNTERCLAIM

Complainant Samsung Electronics America, Inc. (“Complainant” or “SEA”), by its undersigned attorneys, respectfully submits this Motion to Dismiss the counterclaim of Respondent COSCO Shipping Lines Co., Ltd. (“Respondent” or “COSCO”), as the counterclaim fails to allege facts sufficient to support the jurisdiction of the Federal Maritime Commission (the “Commission”) over the counterclaim and fails to allege facts sufficient to establish a claim under 46 U.S.C. § 41102(a).

PRELIMINARY STATEMENT

On March 22, 2024, SEA filed its Verified Complaint (Document No. 01) against COSCO asserting that Respondent, as an ocean common carrier subject to the Commission’s jurisdiction, had engaged in a pattern of conduct in violation of the Shipping Act of 1984, 46 U.S.C. § 40101,

et seq. (the “Shipping Act”). Respondent filed a Motion to Dismiss the Complaint (Doc. No. 16) on May 9, 2024, which was denied in part and granted in part on April 11, 2025. (Doc. No. 25). Pursuant to this tribunal’s April 11, 2025 ruling, SEA filed its Verified Amended Complaint on April 25, 2025 (Document No. 26). On May 12, 2025, Respondent filed its Verified Answer to the Amended Complaint and included a Counterclaim against SEA, alleging violation of 46 U.S.C. § 41102(a) (the “Counterclaim”).

Section 41102(a), titled “Obtaining Transportation at Less Than Applicable Rates,” provides that:

A person may not knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.

46 U.S.C. § 41102(a).

At its core, COSCO’s counterclaim relies on (1) an alleged “concealment” by SEA of its disagreement with COSCO’s detention and demurrage charges, based on alleged terms of Service Contracts that SEA concededly did not sign; and (2) SEA subsequently serving a pre-litigation demand and filing a complaint with the Commission alleging that COSCO’s assessment of detention and demurrage was a violation of the Shipping Act and asserting its right to reparations; in so doing, COSCO claims that SEA has “knowingly and willfully engaged in a unjust or unfair device or means to obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply, all in violation of 46 U.S.C. § 41102(a) of the Shipping Act.” COSCO Counterclaim ¶ 73.

But COSCO has failed to plead sufficient factual allegations to support its counterclaim with respect to any of the elements that constitute a Section 41102(a) claim. The counterclaim does not plausibly allege any facts that SEA attempted, either successfully or otherwise, to obtain

ocean transportation, or that any such attempts were by any cognizably false, unjust, or unfair means, or that any such attempts were conducted knowingly and/or willfully, directly or indirectly. Moreover, SEA's pre-litigation and litigation activities are precisely the types of activities that are immunized by the *Noerr-Pennington* doctrine. In short, COSCO has utterly failed to state a claim upon which relief can be granted, and the counterclaim should be dismissed with prejudice.

The futility of COSCO's Section 41102(a) counterclaim is inescapable as a matter of law. The same flawed legal theory has already been rejected in two other cases – *Samsung Electronics America, Inc. v. Orient Overseas Container Line, Limited and OOCL (Europe) Ltd.*, Dkt. No. 24-17 and *Samsung Electronics America, Inc. v. SM Line Corp.*, FMC Dkt. No. 23-01. In both matters, the Presiding Officer dismissed as a matter of law nearly identical Section 41102(a) claims by the respondents, and COSCO's counterclaim should suffer the same fate.

LEGAL STANDARD

Although the Commission's Rules of Practice and Procedure ("Rules") do not explicitly provide for Motions to Dismiss, Rule 12 of the Commission's Rules states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules to the extent that the application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12.

"In evaluating whether a complaint before the Commission states a cognizable claim under the Shipping Act, the Commission has relied on Federal Rules of Civil Procedure 12(b)(6) and the federal case-law interpreting it." *Cornell v. Princess Cruise Lines, Ltd.*, FMC Dkt. No. 13-02, 2014 WL 5316340 at *6 (FMC Aug. 28, 2014) (citing *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Dkt. No. 09-01, 2011 WL 7144008 at *11 (FMC, Aug. 1, 2011)); *see also* *MAVL Capital Inc. v. Marine Transp. Logistics, Inc.*, FMC Dkt. No. 16-16, 2020 WL 6445041 at *5

(FMC, Oct. 29, 2020) (stating that the Commission looks to Rule 12(b)(6) when considering dismissals for failure to state a claim). The Commission ruled in *Mitsui* that:

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). ... The complaint must be sufficient to “give the defendant fair notice of what the ... claim is and the grounds upon which it rests.” *Bell Atlantic*, 550 U.S. at 555 (quoting *Conley v. Gibson*, 355 U.S. 41, 47 (1957)); see also 5 Charles Alan Wright & Arthur R. Miller, *Federal Practice & Procedure Civ.* §1215 (3d ed. 2010) (“[T]he test of a complaint’s sufficiency simply is whether the document’s allegations are detailed and informative enough to enable the defendant to respond.”).

Mitsui, 2011 WL 7144008 at *12. Thus, a “pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.’” *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (citing *Twombly*, 550 U.S. at 555). And “[t]he Commission need not ... accept any inferences drawn by Complainants that are unsupported by the facts pleaded in the complaint. Moreover, the Commission need not accept legal conclusions cast in the form of factual allegations.” *Cornell*, 2014 WL 5316340 at *7.

Further, heightened pleading requirements apply to any claim alleging fraudulent conduct, as in the case of a claim alleging unjust or unfair devices under 46 U.S.C. § 41102(a). While Rule 62(a)(3)(iii) of the Commission’s Rules is similar to FRCP 8’s requirement for a “short and plain statement of the claim showing the pleader is entitled to relief,” the Commission has no specific rule regarding allegations of fraud or mistake. Accordingly, pursuant to Rule 12 of the Commission’s Rules, on a motion to dismiss a pleading, the Commission must refer to FRCP 9(b), which establishes a heightened pleading standard for claims involving fraud. 35 C.F.R. § 502.12 (“for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure *will* be followed to the extent that they are consistent with sound administrative practice.”) (emphasis added). In any case, federal courts have treated FRCP 12(b)(6) as inherently

tied to the federal pleading rules, and as such, FRCP 12(b)(6) should be read in conjunction with FRCP 9(b). *See, e.g., Li v. Kerry*, 710 F.3d 995, 998 (9th Cir. 2013) (court noting that FRCP 12(b)(6) is read “in conjunction with” the pleading rules); *Griggs v. Ameriquest Mortg. Co.*, No. 1:06-CV-3147, 2007 WL 9703155, at *2 (N.D. Ga. Apr. 25, 2007) (“the legal sufficiency of a complaint under FRCP 12(b)(6) is determined by whether the complaint states a claim upon which relief can be granted in light of the pleading requirements of Rules 8 and 9...”). As such FRCP 9(b)’s heightened pleading requirements are part and parcel of FRCP 12(b)(6) analysis.

FRCP 9(b) provides that “[i]n alleging fraud or mistake, a party must state with particularity the circumstances constituting fraud or mistake.” The purpose of requiring particularity with respect to fraud claims is (1) to provide the defendant with fair notice of the plaintiff’s claim, (2) to safeguard a defendant’s reputation from improvident charges of wrongdoing, and (3) to protect a defendant against the institution of a strike suit. *Wood ex rel. U.S. v. Applied Research Assocs., Inc.*, 328 Fed. Appx. 744, 747 (2d Cir. 2009). Thus, claims involving such allegations must meet an “elevated pleading standard.” *Iqbal*, 556 U.S. at 686–87.

Notably, FRCP 9(b)’s application is “not limited to allegations styled or denominated as fraud or expressed in terms of the constituent elements of a fraud cause of action,” and applies so long as the claims themselves are premised on allegations of fraud, or “sound in fraud.” *Rombach v. Chang*, 355 F.3d 164, 171 (2nd Cir. 2004); *see also Vess v. Ciba-Geigy Corp. USA*, 317 F.3d 1097, 1103 (9th Cir. 2003); *Lone Star Ladies Inv. Club v. Schlotzsky’s Inc.*, 238 F.3d 363, 368-9 (5th Cir. 2001) (“Rule 9(b) applies by its plain language to all averments of fraud, whether they are part of a claim of fraud or not.”); *SEC v. Binance Holdings Ltd.*, 738 F. Supp.3d 20, 37 (D.D.C. 2024) (court noting that “[t]he majority of circuits” apply FRCP 9(b) where a claim “sounds in fraud”); *MSP Recovery Claims, Series LLC v. Pfizer, Inc.*, 2025 WL 689180, at *3 (D.D.C. Mar.

4, 2025) (“[t]he Court is persuaded by the analysis of numerous circuit and district courts that have held that a plaintiff must state with particularity the circumstances of the fraud when fraudulent actions form the basis of a claim.”).

This elevated pleading standard means that claims that include an element of fraud are subject to more stringent review on motions to dismiss. To satisfy Rule 9(b), “the plaintiff must allege (1) ‘the time, place, and content of the alleged misrepresentation,’ (2) ‘the fraudulent scheme,’ (3) the defendant’s fraudulent intent, and (4) the resulting injury.” *Smith v. Gen. Motors LLC*, 988 F.3d 873, 883 (6th Cir. 2021) (quoting *Wall v. Michigan Rental*, 852 F.3d 492, 496 (6th Cir. 2017)); see also *Cooper v. Pickett*, 137 F.3d 616, 627 (9th Cir. 1997) (requiring a plaintiff making a fraud claim to allege the “who, what, where, when, and how” of the alleged misconduct). “Bare-bones allegations” therefore do not suffice. *Lundy v. Cath. Health Sys. of Long Island Inc.*, 711 F.3d 106, 119 (2d Cir. 2013).

ARGUMENT

COSCO’s counterclaim fails to allege sufficient facts to state a claim against SEA for violation of Section 41102(a) of the Shipping Act.

To plead a violation of Section 41102(a) (previously known as Section 10(a)(1)),¹ Counterclaimant must plead facts supporting three elements: (1) knowing and willful conduct; (2) through which, either “directly or indirectly,” by means of the actions enumerated in the statute or through “any other unjust or unfair device or means;” (3) the party obtained or attempted to obtain ocean transportation at lesser rates. *OC Int’l Freight, Inc.*, FMC Dkt. No. 12-01, 2014 WL 5316336, at *4, (FMC July 31, 2015). COSCO fails to plead adequately any of those elements.

¹ The Federal Maritime Commission issued a rule on October 1, 2009 recodifying the Shipping Act of 1984 (74 Fed. Reg. 50713) in which Section 10(a)(1) was redesignated 46 U.S.C. § 41102(a). Older Commission decisions reference the original Shipping Act section number.

I. COSCO DOES NOT ALLEGE KNOWING AND WILLFUL CONDUCT BY SEA

Section 41102(a)'s first element—knowing and willful conduct—is established if the party had knowledge of the facts of the violation and acted either intentionally or with reckless disregard, plain indifference, or purposeful or obstinate behavior akin to gross negligence. Conduct is knowing and willful if it was carried out purposely or obstinately, or with gross recklessness, heedlessness, or a callous disregard for the consequences or plain indifference to the law's requirements. *Rana v. Michelle Franklin, d.b.a. "The Right Move,"* 5 F.M.C.2d 7, 19-20 (FMC May 25, 2022) (citations omitted).

Here, COSCO does not allege any knowing or willful conduct by SEA in connection with SEA obtaining or attempting to obtain ocean transportation from COSCO at all, regardless of rate level. COSCO's allegations that bear on this element are that SEA was named as an Affiliate of Samsung Logitech or Samsung SDSAP on Service Contracts (COSCO Counterclaim ¶¶ 17-18), that SEA was a consignee for shipments (*id.* ¶¶ 20, 30) in connection with which SEA received invoices for charges incurred in the United States (*id.* at ¶ 21), and that the charges incurred by SEA were for detention and demurrage (*id.* at ¶¶ 36, 61, 67, 69, 70, 71). However, COSCO does not allege that SEA executed any contracts. (*See* COSCO Counterclaim ¶¶ 15-16). Nor does COSCO allege that SEA was a Shipper on any contracts. (COSCO Counterclaim ¶ 17) (alleging Samsung Logitech and Samsung SDSAP listed as the "Shipper" on Service Contracts). Finally, while COSCO makes allegations which appear to assume that SEA was the Owner of the cargo (COSCO Counterclaim ¶¶ 57, 58), COSCO never alleges that SEA was the Owner of the cargo,

or any factual basis for believing that SEA was the owner of cargo.² On this basis alone, COSCO's counterclaim must be dismissed.

So too COSCO's efforts to unilaterally bind SEA to the terms of the Service Contracts, while admitting that it was Samsung Logitech and Samsung SDSAP – and not SEA – who executed and filed the Service Contracts with the FMC (COSCO Counterclaim ¶¶ 15, 16), fail to support the counterclaim. Allegations that Samsung Logitech and Samsung SDSAP purportedly made representations³ that the person executing the Service Contract had the authority to enter into the Service Contract on behalf of affiliates, including SEA (COSCO Counterclaim ¶ 19) or that the Service Contracts state that they are “made between” COSCO, the Shipper and “all Affiliates of the Shipper” (COSCO Counterclaim ¶ 17) do not support COSCO's claim. Importantly, the allegation that SEA was somehow a party to the Service Contracts is contradicted by COSCO's admission that the Affiliates are not signatories to the Service Contracts (COSCO Counterclaim ¶¶ 15, 16).

None of these allegations, even in combination, add up to actually pleading that SEA knowingly and willfully obtained or attempted to obtain ocean transportation from COSCO, which it must plead in order to state a claim for violation of Section 41102(a).

² The only reference to the owner of cargo that COSCO makes in its Counterclaim is to language of the Service Contracts, which refer to a relationship between the customer nominated trucker and “the Shipper or the owner of the cargo.” (COSCO Counterclaim ¶ 34, 35).

³ COSCO fails to allege that these representations or warranties were part of the Service Contracts themselves.

II. COSCO DOES NOT ADEQUATELY ALLEGE FALSE OR FRAUDULENT CONDUCT BY SEA, A NECESSARY ELEMENT OF ITS SECTION 41102(a) CLAIM

1. COSCO Fails to Plead Particularized Factual Allegations

The second element of a Section 41102(a) claim requires factual allegations that the subject party used false billing, classification, measurements or report thereof, or any other unjust or unfair device or means to obtain ocean transportation at less than otherwise applicable rates. *Rana*, 5 F.M.C.2d at 20 (citations omitted). COSCO’s counterclaim contains no allegation of false billing, false classification, or false measurement or reporting of cargo by SEA. Instead, COSCO merely makes the conclusory allegation that SEA employed an “unjust or unfair device or means.” COSCO Counterclaim ¶¶ 72-73.

Under the Commission’s regulatory interpretation of “unjust or unfair device or means” in connection with Section 41102(a), to make a sufficient allegation of “unjust or unfair device or means,” a complainant must provide factual allegations establishing some element of fraud, concealment, or deceit. *Rana*, 5 F.M.C.2d at 20-21 (“To establish a violation of section 41102(a), ‘fraud or concealment is a necessary ingredient in the proof of an unjust or unfair device or means.’”) (quoting *U.S. v. Open Bulk Containers*, 727 F.2d 1061, 1064 (11th Cir. 1984)); see also *SeaFair USA LLC v. Sterling Container Line Ltd.*, FMC Dkt. No. 22-34, 2024 WL 1741926, at *10 (ALJ Apr. 15, 2024) (same) and 46 C.F.R. § 545.2 (Commission’s regulatory guidance requiring “evidence of bad faith or deceit” for the Commission to infer an “unjust or unfair device”).

2. COSCO’s Claim is Subject to FRCP 9(b)’s Heightened Pleading Requirements

With respect to motions to dismiss, because COSCO’s Section 41102(a) claim requires an element of fraud or concealment, COSCO’s counterclaim is subject to FRCP 9(b)’s heightened pleading standard regarding the circumstances of the alleged fraud or concealment. A majority of

Federal courts have held that where a claim, whatever its title, “sounds in fraud,” meaning it is premised upon a course of fraudulent conduct, courts uniformly require plaintiffs to meet FRCP 9(b)’s heightened pleading requirements. *See, e.g., Kolominsky v. Root, Inc.*, 100 F.4th 675, 683-684 (6th Cir. 2024) (applying FRCP 9(b) to Securities Act of 1933 claim where the claims were grounded in materially false and misleading statements and omissions, thus requiring the FRCP 9(b) pleading standard); *In re BP Lubricants USA Inc.*, 637 F.3d 1307 (Fed. Cir. 2011) (applying FRCP 9(b) to False Marking Statute claim based on alleged use of expired patent marking); *Rombach v. Chang*, 355 F.3d 164 (2d Cir. 2004) (requiring pleadings to meet the FRCP 9(b) standard when premised on allegations of fraud); *Harrison v. Westinghouse Savannah River Co.*, 176 F.3d 776, 783-84 (4th Cir. 1999) (False Claims Act suits sound in fraud and are therefore subject to FRCP 9(b)).

To satisfy the FRCP 9(b) pleading standard, “a complaint must ‘(1) specify the statements that the plaintiff contends were fraudulent, (2) identify the speaker, (3) state where and when the statements were made, and (4) explain why the statements were fraudulent’.” *Wood ex rel. U.S.*, 328 Fed. Appx. at 747. In other words, to state its claim under Section 41102(a), COSCO must allege the “who, what, where, when, and how” of the alleged misconduct. *Cooper v. Pickett*, 137 F.3d 616, 627 (9th Cir. 1997). COSCO has not done so. Indeed, COSCO does not allege fraudulent actions or false statements by SEA in its counterclaim, much less where and when any such actions or statements were made, or how any such actions or statements would be fraudulent. Thus, the counterclaim falls far short of the FRCP 9(b) pleading standard.

COSCO’s allegations of concealment amount to a claim that (1) SEA concealed its disagreement with the terms of the contract at the time of the signing in order to induce COSCO into offering lower rates than it otherwise would have offered, (COSCO Counterclaim ¶ 38) and

(2) that SEA concealed its disagreement with the terms specifically until after the Service Contracts had expired “and Samsung and SEA had gained the benefits of its deceit, then demanding repayment of charges it had agreed to pay in the first place,” presumably when SEA issued its demand (COSCO Counterclaim ¶ 72; *see also id.* ¶¶ 37-38). COSCO, however, provides no specifics indicating its basis for believing SEA disagreed with the terms of the contract that it did not sign, at the time the contract was signed or after expiration. In fact, COSCO does not allege that SEA *ever* disagreed with the terms of the Service Contracts.

What COSCO does allege is that SEA, in its September 23, 2022 Demand, disagreed with detention and demurrage charges (COSCO Counterclaim ¶ 42). COSCO does not allege how this was “unjust, unfair,” or otherwise an unlawful attempt to obtain ocean transportation at lower than standard rates either. Nor does COSCO’s allegation reveal “evidence of bad faith or deceit” as required for the Commission to infer an “unjust, unfair device” as outlined in the Commission’s regulatory guidance for Section 41102(a). See 46 C.F.R. § 545.2. This disagreement certainly does not support a claim for concealment. Even if SEA had signed the Service Contracts (which is admittedly not the case), its disagreement with the detention and demurrage charges would be consistent with the terms, as pled by COSCO. For example, a signatory to the Service Contracts could disagree with demurrage and detention charges, believing that COSCO was at fault. As COSCO itself acknowledges, it is responsible for demurrage and detention charges where it is at fault. (COSCO Counterclaim ¶ 36) (“under the Service Contracts...Samsung and SEA were responsible for detention and demurrage charges, *unless the delays resulted directly from fault by COSCO*”) (emphasis added). Mere disagreement with such charges cannot possibly support COSCO’s claim that SEA disagreed with the terms of the Service Contracts, let alone its further claim for concealment of that disagreement.

COSCO's allegations of "concealment" are further undermined by the fact that COSCO also alleges that, while SEA apparently paid the vast majority of detention and demurrage charges, it nevertheless *refused to pay \$4 million in detention and demurrage charges*, prior to the issuance of its Demand letter. (COSCO Counterclaim ¶¶ 40, 43, 75). COSCO's awareness of unpaid detention and demurrage charges contradicts its pleading that Samsung had "concealed" its disagreement. Given these contradictions, COSCO's pleading of concealment need not be assumed as true for the purposes of evaluating the motion to dismiss. *L-& Designs, Inc. v. Old Navy, LLC*, 647 F.3d 419, 422 (2d Cir. 2011) (court noting that assumption of truth is not granted pleadings where they are contradicted by more specific allegations in the complaint).

Finally, both of COSCO's concealment allegations are undermined by the fact that COSCO cannot show how SEA's purported concealment was "a means" to obtaining ocean transportation at less than otherwise applicable rates. According to COSCO, SEA paid the vast majority of detention and demurrage charges that it was assessed. (COSCO Counterclaim ¶¶ 42, 75). As a result, SEA has not received the purported "benefit" of its concealment, and can only now receive it through a proceeding before the Commission.

COSCO's "concealment" claim is flatly different in kind from the type of concealment highlighted in case law, such as a party's seeking payment under a false classification, and concealing the false classification, in order to secure a reduced rate. *See Hohenberg Bros. Co. v. FMC*, 316 F.2d 381 (D.C. Cir. 1963). In *Hohenberg*, the petitioner conspired with the carrier to pay an artificially low rate on the shipment of cotton bales, and attempted to conceal the incorrect rate from government inspectors and competitors who paid a higher rate. When government inspectors found the shipment and adjusted the shipping rates, the shipper again conspired with the carrier to undo the adjustment through a refund, which the shipper and carrier again attempted

to conceal from government inspectors. In *Hohenberg*, the petitioner's concealment from government inspectors was obviously a means to its securing a reduced rate. In contrast to *Hohenberg*, SEA actively seeks to make its case publicly before the Commission to determine the correct distribution of detention and demurrage charges.

In sum, when subjected to FRCP 9(b)'s heightened pleading requirements, including explaining why SEA's actions are purportedly fraudulent, COSCO's pleadings collapse upon even modest scrutiny, and must be dismissed.

3. COSCO's Allegations Fail to Meet the Commission's General Pleading Standard

Even if the Presiding Officer ignores the heightened pleading standard required under FRCP 9(b), COSCO's counterclaim still fails to meet even the Commission's general pleading standard under the Commission's Rule 62(a)(3)(iii), as its allegations do not inform SEA with reasonable definiteness of the acts or practices alleged to be in violation of Section 41102(a).

The substance of COSCO's claim that SEA engaged in some "unfair and unjust device" to obtain ocean transportation at rates lower than those that would typically apply is that SEA: (1) privately disagreed with COSCO over the terms of the Service Contracts relating to detention and demurrage, (2) did not immediately dispute such charges; (3) demanded refunds of charges it contends were unlawfully imposed upon it, after COSCO had fully performed under its contracts; (4) demanded that COSCO waive future charges that it views as unlawful but COSCO contends would be lawful; and (5) filed a Verified Complaint with the Commission on March 22, 2024. (See COSCO Counterclaim ¶¶ 72, 73). But at no point does COSCO allege how SEA's exercise of its legal right to seek reparations under the Shipping Act is "unjust, unfair," or otherwise an unlawful attempt to obtain ocean transportation at lower than standard rates. As noted earlier, COSCO's allegations only appear to have the initial whiff of plausibility because COSCO

downplays the fact that SEA paid the detention and demurrage charges, and so has not received the “benefit” of its purported concealment, which it can only get through the Commission’s ruling in its favor. As such, COSCO’s allegation amounts to nothing more than a mere conclusory allegation of a key element of Section 41102(a).

4. Legal Proceedings Cannot Constitute Unfair or Unjust Devices

It is well-established at this point that the initiation of complaint proceedings before the Commission cannot, as a matter of law, constitute an unfair or unjust means of obtaining ocean transportation at less than the rates or charges that would otherwise apply under 46 U.S.C § 502.62(b)(4).

In *Samsung Electronics America, Inc. v. SM Line Corp.*, Dkt. No. 23-01, *Order Denying Motion for Leave to File Third Party Complaint* (Jan. 31, 2024), the Presiding Officer dismissed a claim by Respondent SM Line that bringing a claim under the Shipping Act is an “unjust or unfair device or means” under Section 41102(a), holding as follows:

Count II of the proposed third-party complaint alleges a violation of § 41102(a), which prohibits a person from knowingly and willfully obtaining ocean transportation at less than the rates or charges that would otherwise apply by means of false billing, classification, weighing, measurement, “or any other unjust or unfair means.” 46 U.S.C. § 41102(a). Count II...argues...that SEA’s complaint in this case is an unjust or unfair means of obtaining ocean transportation at less than the applicable rate. ...[N]o authority has been cited for the unlikely proposition that a complaint alleging a Shipping Act violation – one found to be meritorious, as it would have to be for SEA and third-party respondents to success [sic] in their alleged “scheme” – is itself a violation of § 41102(a). Count II similarly does not satisfy the requirements of Rule 62(b)(4). *Id.* at p. 3.

As with the argument brought by Respondent SM Line in that matter, COSCO’s claim here that the public filing of a Shipping Act complaint be deemed an “unjust or unfair device or means” to achieve lower ocean transportation shipping rates is unsupported, unlikely, and insufficient. Accordingly, COSCO’s counterclaim under Section 41102(a) must necessarily be dismissed.

More recently, claims nearly identical to COSCO's claims here were dismissed as a matter of law in *Samsung Electronics America, Inc. v. Orient Overseas Container Line, Limited and OOCL (Europe) Ltd.*, Dkt. No. 24-17 (the "SEA / OOCL Matter"). OOCL's counterclaim was predicated on the same Section 41102(a) theory posited by COSCO here. There, the Presiding Officer issued an Order Granting Complainant's Motion to Dismiss Respondent's Counterclaim (Mar. 31, 2025) in the SEA / OOCL Matter, dismissing OOCL's counterclaim with prejudice.⁴

III. COSCO FAILS TO ALLEGE THE ELEMENT OF OCEAN TRANSPORTATION

While the foregoing is more than sufficient to dismiss the counterclaim, COSCO has also failed to allege that SEA obtained or tried to obtain ocean transportation for less than the rates or charges that would normally apply.

Specifically, COSCO has not alleged that SEA was the shipper for any cargo overseas, that SEA generated any bills of lading, that SEA was the owner of any cargo, that SEA obtained or attempted to obtain any ocean transportation, what rates should have been paid by SEA in connection with any cargo, or that SEA paid actual rates lower than such rates. Indeed, COSCO fails to make any allegation sufficient to support its counterclaim, all of which would be required to state a cognizable claim under Section 41102(a). *See, e.g., Dukart v. Ocean Star Int'l Inc. dba Int'l Van Lines*, 2 F.M.C.2d 118, 128 (ALJ July 10, 2020).

⁴ It is a matter of public record that OOCL filed an appeal to the March 31, 2025 Order in the SEA / OOCL Matter on April 16, 2025, under 46 C.F.R. § 502.227(b)(1). That appeal does not negate the March 31 Order in the SEA / OOCL Matter. That is, the March 31 Order is not an initial decision that would be rendered "inoperative" pending the Commission's decision thereof under 46 C.F.R. § 502.227(a)(5). There is no "inoperative" corollary for appeals under 46 C.F.R. § 502.227(b) as there are for exceptions to initial decisions under 46 C.F.R. § 502.227(a). As such, the Presiding Officer can rely on and/or adopt the reasoning from the March 31 Order when considering the motion to dismiss herein.

Rather, COSCO concedes that SEA was the cargo consignee. Moreover, while COSCO appears to believe it alleges that SEA was an owner of cargo (COSCO Counterclaim ¶¶ 57, 58), COSCO does not actually allege this anywhere in its Counterclaim. It only alleges that, under its Tariff, the “contract of carriage for inland transportation shall be deemed to be between the Shipper or the owner of the cargo, not Carrier”. (COSCO Counterclaim ¶ 35). COSCO also concedes that SEA incurred detention and demurrage charges in connection with the receipt of the cargo (*id.* at ¶¶ 36, 61, 67, 69, 70, 71), and blames SEA and unnamed trucking companies for incurring those charges (*id.* at ¶¶ 67-70). Beyond the formulaic, conclusory recitation of Section 41102(a) in paragraphs 72 and 73 of its Counterclaim, at no point does COSCO make any allegation that SEA attempted to obtain, or actually obtained, any ocean transportation; nor does COSCO describe any manner in which SEA would be deemed to have done so.

The obvious lack of factual allegations supporting its claim that SEA violated Section 41102(a) by “knowingly and willfully, directly or indirectly, by... unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply” dooms COSCO’s counterclaim. Simply put, COSCO’s counterclaim lacks sufficient factual allegations to state any plausible claim under 46 U.S.C. § 41102(a) and must therefore be dismissed. *See Iqbal*, 556 U.S. at 678 (“Threadbare recitals of the elements of a cause of action, supported by mere conclusory statements, do not suffice”).

IV. COSCO’S COUNTERCLAIM IS BARRED BY THE *NOERR-PENNINGTON* DOCTRINE

COSCO’s counterclaim fails for a separate and independent reason under the so-called “*Noerr-Pennington* doctrine.” COSCO alleges that “In this proceeding, and in other proceedings before the Federal Maritime Commission, commenced by SEA against other ocean carriers, SEA is attempting to recoup the demurrage, detention and other costs that have been rightfully charged

to and incurred by SEA, from entities that were not legally responsible for the charges SEA incurred due to its own fault, acts and omissions or those of its CNTs.” (COSCO Counterclaim ¶ 71). But such conduct is protected by the *Noerr-Pennington* doctrine. In *Sosa v. DIRECTV, Inc.* – ironically invoked by COSCO in its unsuccessful motion to dismiss SEA’s complaint – the Ninth Circuit stated that “in the litigation context, not only petitions sent directly to the court in the course of litigation, but also ‘conduct incidental to the prosecution of the suit’ is protected by the *Noerr-Pennington* doctrine.” 437 F.3d 923, 934-35 (9th Cir. 2006). The Ninth Circuit further cautioned that “[u]nder the *Noerr-Pennington* rule of statutory construction, we must construe federal statutes so as to avoid burdening conduct that implicates the protections afforded by the Petition Clause unless the statute clearly provides otherwise.” *Id.* Other courts have routinely immunized litigation and threatened litigation under this doctrine. See, e.g., *PrimeTime 24 Joint Venture v. Nat’l Broadcasting Co.*, 219 F.3d 92 (2d Cir. 2000) (pre-suit challenges to signal strength determinations by satellite broadcasters within *Noerr-Pennington* doctrine’s protections). And “[t]his immunity extends to persons who petition all types of government entities — legislatures, administrative agencies, and courts.” *Cheminor Drugs, Ltd. v. Ethyl Corp.*, 168 F.3d 119, 122 (3d Cir. 1999). Thus, the alleged SEA conduct cited by COSCO as the basis for its Section 41102(a) counterclaim – which includes the mailing of presuit demand letters – is *precisely* the type of litigation-related activity that is protected by the *Noerr-Pennington* doctrine. COSCO’s counterclaim must therefore be dismissed as an improper impingement upon SEA’s Petition Clause protections.

CONCLUSION

As shown above, COSCO’s counterclaim is plainly frivolous based on FMC precedents and the flimsiness of its allegations. The only possible reason for burdening this tribunal and SEA

with such an obviously meritless counterclaim is as an improper tactic to delay this litigation and drive up the costs of the proceeding for SEA, all contrary to the Commission's Rules and precedents.

Accordingly, pursuant to 46 C.F.R. §§ 502.69, 502.70, and 502.254, Complainant SEA respectfully moves for an Order: dismissing with prejudice COSCO's counterclaim in its entirety; and striking Respondents' prayer for a cease-and-desist order and request for attorney fees; and further requests that the Order grant SEA its attorneys' fees in connection with this Motion to Dismiss; and grant all such other and further relief as may be just and proper.

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Respectfully Submitted,

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CERTIFICATE OF SERVICE

I certify that on this date, June 6, 2025, this Motion to Dismiss Respondent's Counterclaim was served upon the Federal Maritime Commission and the following via electronic mail:

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